

Economies of Scale



The higher the economies of scale in the industry, the higher will be the relative competitive advantage of the incumbents or new entrants.

- As these firms are in a position of advantage, newer demand will also move towards them.
- As volume advantage to the incumbent keeps getting bigger and bigger, new entrants find it very difficult to successfully enter the industry.

Distribution Strength Required

Some industries are designed in such a manner that they need distribution strength for success. Building distribution strength requires time, effort, and cost and these can be entry barriers or even competitive damage.



It will also be more expensive for an entrant to build distribution channels as they will have to offer higher margins to the middlemen.

However, industries should be wary about new technologies and business models that can reduce the need for traditional distribution strength.